

managing director, media consultancy CMCG. "This is a valuation game. The value of a franchise is based not on cricket but what you can realise from it a few years later," he adds. In this scenario, many who believe that the franchises have made a wise investment. Anirban Das Blah, CEO of Globosport, maintains, "In about five years' time, for the Mumbai franchise to attract twice its price today will not be a problem."

The presence of BCCI vice-president N. Srinivasan in India Cements' winning bid in Chennai and IPL Chairman Lalit Modi's personal friendship with key backers in three (Mohali, Kolkata and Jaipur) of the eight bids are raising eyebrows and whispers of cartelisation.

Despite mind-altering numbers, IPL is essentially Indian cricket trying to outgrow its chronic shambolism. Prospective bidders received last-minute changes to their terms at 8 p.m. the night before the 10 a.m. franchise bid deadline the next morning. Many

point to the gap between the numbers announced by Modi's prolific marketing machine and the fact of deals that have fallen through or been reduced in value. Even so, two unsuccessful bidders, the Anil Ambani group and Sahara, are trying to convince BCCI to add two more franchises, Ahmedabad and Lucknow.

QSO, WHO'S COMING TO PLAY?

Only a sprinkling of international stars in the first year, the biggest overseas names being retired Aussies Glen McGrath, Shane Warne and Adam Gilchrist. A document of clarifications sent to prospective bidders by IPL stated that "Indians, Sri Lankans, South Africans, Bangladeshis and Zimbabweans will be available for the whole tournament...Pakistanis from April 27 onwards, West Indians until mid-May and New Zealanders until the end of April... Australian Test players are unlikely to be available in year one."

The IPL-contracted players, who will be paid between Rs 8 lakh (for a junior) and Rs 1.6 crore per year (Warne's reported fee), have to be signed on for a minimum of three years, leaving owners to make risky long-term punts on older players. Four Indians—Sachin Tendulkar, Sourav Ganguly, Rahul Dravid and Yuvraj Singh—designated as "icons" will have to be paid at least 15 per cent higher than the most expensive player on a team. The franchise owners' responsibilities don't end with picking their teams, those teams must pull in crowds seven times in six weeks. According to Joy Bhattacharjya, who runs independent media consultancy Temple Media, creating a community of fans is key. "The only genuine club loyalty to be found in Indian sport is in Kolkata football. IPL franchises will have to spend enough money and use their stars well to begin to generate that kind of feeling."

INTERNATIONAL

Retirees like Gilchrist and current cricketers from Sri Lanka and South Africa will be biggest overseas players



Adam Gilchrist

TEAM BALANCE SHEET

Rs 15 cr*
share of media rights
per team

64 per cent*
of commercial deals yet
to be announced

Rs 36 cr
annual franchise fee to
be paid to IPL

Rs 13.2 cr
minimum spending on
annual player salaries

Rs 45-50 cr
expected operational
cost per season

**Additional revenue: shirt
sponsors, ticket sales,
12 ground hoardings.**

*For the first 5 years

■ Expenses

■ Earnings

QCAN TV MAKE MONEY FROM IPL?

No one can work out how. The Rs 4,000-crore media rights deal between IPL and WSG-Sony is the core of IPL's earnings. Pratap Bose, CEO, O&M India, says comparisons to National Basketball Association and English Premier League are premature, "as this is IPL's first year. Television will remain the principal revenue earner."

Media planners are wondering how it will all add up. Divya Radhakrishnan, vice-president, The Media Edge, India, the media planning arm of Rediffusion DY&R, says, "If we do the math backwards and divide the monies paid by advertising time, Sony should be selling a 10-second slot at Rs 3 lakh, which is twice that of an India ODI series."

The figure of \$1 billion touted by IPL, say industry watchers, is something of an optical illusion driven by Lalit Modi's desire to match ICC's billion-dollar deal with ESPN-Star Sports (ESS). There was